3.9.1 Growth

- **Reasons to grow:** economies of scale, market power, spreading risk, higher profits
- **Organic growth:** growing from within, e.g. new outlets or products
- **External (inorganic) growth:** mergers and takeovers
- **Organic benefits:** lower risk, keeps control and culture
- **Organic drawbacks:** slow
- **External benefits:** fast, gains customers and expertise
- **External drawbacks:** costly, culture clashes, integration problems
- **Trap:** organic growth does not mean environmentally friendly

3.9.1 Retrenchment and the impact of change in size

- **Retrenchment:** cutting back the scale of the business, e.g. closing sites
- **Reasons to retrench:** falling demand, losses, refocusing on core activities
- **Impact on marketing:** narrower range, fewer markets
- **Impact on operations:** spare capacity or closures
- **Impact on HR:** redundancies, low morale
- **Impact on finance:** one-off costs, then lower running costs

3.9.1 Economies of scale and overtrading

- **Economies of scale:** unit costs fall as output rises
- **Types named by AQA:** technical, purchasing, managerial
- **Economies of scope:** savings from producing a wider range using shared resources
- **Diseconomies of scale:** unit costs rise as the business grows, e.g. poor communication, coordination, motivation
- **Synergy:** combined business performs better than the two separately
- **Overtrading:** growing too fast without enough cash to fund it
- **Trap:** scale is more of the same; scope is a wider range

3.9.1 Methods and types of growth

- **Merger:** two businesses agree to join
- **Takeover:** one business buys a controlling share of another
- **Joint venture:** two businesses set up a shared project and keep their separate identities
- **Franchising:** franchisee pays to use the brand and system and runs the outlet
- **Vertical integration:** joining a business at a different stage of production
- **Backward vertical integration:** buying a supplier
- **Forward vertical integration:** buying a business closer to the customer
- **Horizontal integration:** same industry and same stage; conglomerate: unrelated industries

3.9.2 Innovation

- **Innovation:** successfully bringing a new idea to market
- **Product innovation:** new or improved products
- **Process innovation:** new or improved ways of producing
- **Pressures for innovation:** competition, technology, changing customer needs
- **Value of innovation:** competitive advantage, higher prices, lower costs
- **Impact on functional areas:** R&D spending, new skills, new equipment, marketing launch
- **Risks:** high cost and many new products fail

3.9.2 Becoming innovative and protecting ideas

- **Kaizen:** continuous small improvements, often from staff
- **Research and development (R&D):** investigating and developing new ideas
- **Intrapreneurship:** employees acting like entrepreneurs inside the business
- **Benchmarking:** comparing with the best businesses to find improvements
- **Patents:** legal protection for inventions
- **Copyright:** legal protection for creative work such as writing, music and software
- **Value of protection:** stops rivals copying, allows higher prices for a period

3.9.3 Globalisation and emerging economies

- **Globalisation:** growing links between economies through trade, investment and communication
- **Reasons for globalisation:** easier transport and communication, fewer trade barriers, multinationals
- **Emerging economies:** countries with fast growth and rising incomes
- **Importance of emerging economies:** growing markets and lower-cost production
- **Risks:** political instability, weak infrastructure, currency changes
- **Effect on UK businesses:** wider markets, but more foreign competition

3.9.3 Trading internationally and choosing markets

- **Reasons to trade internationally:** new markets, slow home market, spread risk, lower costs, economies of scale
- **Attractiveness of a market:** size, growth, incomes, competition, ease of doing business, political and economic stability
- **Exporting:** selling abroad from the home country
- **Licensing:** allowing a foreign business to make the product for a fee
- **Alliances:** working with a foreign business while staying separate
- **Direct investment:** setting up or buying operations abroad
- **Multinational:** a business with operations in more than one country
- **Trap:** exporting does not make a business a multinational

3.9.3 Producing abroad and managing international business

- **Off-shoring:** moving activities to another country
- **Re-shoring:** bringing activities back to the home country
- **Influences on producing abroad:** costs, skills, quality, transport, infrastructure, ethics
- **Influences on buying and selling abroad:** exchange rates, tariffs, culture, demand
- **Local responsiveness:** adapting products and marketing to each country
- **Cost reduction:** standardising products across countries
- **Trap:** off-shoring is not the same as outsourcing

3.9.4 Digital technology

- **Pressures to adopt digital technology:** competition, customer expectations, lower costs
- **Automation:** machines doing tasks people used to do
- **E-commerce:** buying and selling online
- **Big data:** very large data sets from customers and operations
- **Data mining:** searching data for patterns to support decisions
- **Value of digital technology:** efficiency, better decisions, new markets
- **Difficulties:** cost, security, skills, staff resistance